Coller International Partners VIII Private Equity Backed Notes 2020-1

$[510.00] Million Notes Backed Primarily by Private Equity Interests

Manager: [Coller Investment Management Limited or an affiliate thereof]

Preliminary Term Sheet | [July 2020]

Investors should read the final offering circular or offering memorandum (the "Offering Circular") in its entirety, prior to making a decision to invest in the Notes. The information set forth in this presentation shall be superseded in its entirety by any subsequent versions of this information and by the preliminary and final Offering Circular relating to the Notes.

Transaction Description[1]

Coller Capital, a leading investor in the private equity secondary market, is creating a fundraising vehicle (the "**Issuer**") for their latest fund, Coller International Partners VIII (the "**PE Fund**"). The Issuer will issue Class A Notes and Class B Notes (collectively, the "**Rated Notes**") and Class I Subordinated Notes[2] and Class II Subordinated Notes (collectively, the "**Subordinated Notes**" and, together with the Rated Notes, the "**Notes**") and will make a commitment to the PE Fund on the Closing Date (the "**PE Commitment**").

The initial proceeds will be used by the Issuer:

(a) to pay for the funded portion of the Issuer's Series B LP interest in the PE Fund (the "**LP Interest**") as of the Closing Date;[3]

(b) to make a cash investment to the PE Fund (the "**Cash Investment**") as more fully described in "*Cash Investment*" below;

(c) to fund the Reserve Account; and

(d) to pay closing expenses of the Issuer.

The Cash Investment will be used to fund capital calls on the Issuer's PE Commitment from time to time and will bear a stated yield on its unused balance.

The Rated Notes will pay a fixed coupon and amortize pro-rata, subject to satisfaction of an LTV test. The distributions from the Issuer's LP Interest and the yield on the Cash Investment will be the primary support for the Rated Notes. Additional support will be provided by the Liquidity Facility and the Reserve Account.

Notes:

1. Capitalized, defined and other terms used in this Preliminary Term Sheet will be fully described in the Offering Circular
2. The Class I Subordinated Notes will receive distributions in priority to the Class II Subordinated Notes, see description in "Key Transaction Terms" below
3. The Issuer will be a "Series B Limited Partner," as will be fully described in the Offering Circular

Capital Structure[1]

Tranche	Par Amount	Expected Initial Credit Enhancement[2]	Expected Average Life[3]	Coupon[4]	Expected Ratings ([KBRA])
Class A Notes	$[250,000,000]	[50]%	[4.2] Years	[4-4.5]%	[A-]
Class B Notes	$[75,000,000]	[35]%	[4.2] Years	[6-6.5]%	[BBB]
Class I Subordinated Notes[5]	$[125,000,000]			N/A	NR
Class II Subordinated Notes	$[60,000,000]			N/A	NR
Total	**$[510,000,000]**				

Notes:

1. Please refer to the Offering Circular for the final capital structure
2. Calculated after the payment of closing expenses of the Issuer
3. The Expected Average Life is based on the base case as described in "Hypothetical Returns" below
4. The Class A and Class B Notes will convert to payment-in-kind to the extent there are insufficient funds to cover the cash coupon on the Notes
5. The Class I Subordinated Notes will receive distributions in priority to the Class II Subordinated Notes, see description in "Key Transaction Terms" below

Key Transaction Terms

Issuer:	[Special Purpose Entity – Jurisdiction TBD]
Co-Issuer:	[Special Purpose Entity – Jurisdiction TBD]

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Manager:	[Coller Investment Management Limited or an affiliate thereof, as manager of the Issuer; Coller Investment Management Limited acts as manager of the PE Fund]
Subordinated Note Distribution Priority:	Distributions to the Class II Subordinated Notes will only occur after the Class I Subordinated Notes have received cumulative distributions equal to their initial par amount; once the Class I Subordinated Notes have received cumulative distributions equal to their initial par amount, any future distributions to the Subordinated Notes will be made to the Class II Subordinated Notes until they have received cumulative distributions equal to their initial par amount; any remaining distributions to the Subordinated Notes will be split on a pro-rata basis between the Class I Subordinated Notes and the Class II Subordinated Notes based on their initial par amounts
Trustee / Collateral Administrator:	[TBD]
Expected PE Commitment:	[$600,000,000]
Pricing Date / Closing Date:	August 2020 / September 2020
Final Maturity:	[15] years
Non-Call Period:	[5] years
Clean-Up Amortization Trigger:	Any of the following criteria results in a breach: (a) the Rated Notes have been outstanding for greater than [6] years from the Closing Date and more than [50]% of the initial Rated Note balance remains outstanding, (b) the Rated Notes have been outstanding for greater than [8] years from the Closing Date, (c) the number of underlying funds that the PE Fund is invested in is fewer than [50] or (d) the Borrowing Base (as defined below) is less than $[100]MM
Concentration Limits:	Any amount in excess of the limits will not be counted towards the transaction's Borrowing Base. During the PE Fund's investment period, limits will be calculated as a percentage of the greater of (i) outstanding FMV and (ii) committed capital. Following the end of the PE Fund's investment period, the limits will be calculated as a percentage of the outstanding FMV. (a) Max exposure within the PE Fund to funds whose strategy is classified as venture capital: [20]% (b) Max exposure within the PE Fund to funds whose geographic region is classified as being outside of North America, EU, Australia, UK, or Japan: [25]% (c) Max exposure within the PE Fund to the three largest funds: [35]% (d) Max exposure within the PE Fund to the five largest funds: [50]% (e) Max exposure within the PE Fund to the fifteen largest funds: [65]%
Payment Dates:	Quarterly
Fixed Fee:	$[186,000] paid annually to third party service providers
Administrative Fee:	[3] bps per annum on the outstanding balance of the Notes, payable to the Trustee / Collateral Administrator
Management Fee:	[7] bps per annum on the outstanding balance of the Notes, payable to the Manager
Listing:	[TBD]
Minimum Denominations:	$[250,000] and increments of $1 in excess thereof

Eligible Collateral Assets

- LP Interest and Cash Investment to the PE Fund
- Reserve Account (in the form of cash and/or eligible liquid investments)

Cash Investment[1]

On the Closing Date, the Issuer will apply the majority of the proceeds from the issuance of the Notes to make investments in the PE Fund. The Issuer will use the remaining proceeds to fund the Reserve Account and to pay closing expenses of the Issuer. Of the proceeds used to make investments in the PE Fund, a portion will be contributed by the Issuer to the PE Fund in exchange for the LP Interest on the Closing Date in connection with capital calls funded by investors in the PE Fund as of such date. The remaining proceeds will be contributed by the Issuer to the PE Fund as a deposit against future capital calls to be made (the "**Cash Investment**").

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Generally, the PE Fund will satisfy its future capital needs by either retaining cash that would otherwise be distributed to limited partners or by issuing capital calls. In respect of the Issuer's PE Commitment, its obligations in respect to any capital calls will be satisfied by a dollar-for-dollar conversion of the Cash Investment.

The PE Fund will record the Cash Investment in a ledger as a deposit made by the Issuer against future capital calls, but the Cash Investment will not be held in a segregated account. The Cash Investment may be used by the PE Fund to fund its core business activities. The Cash Investment will bear a yield of [●]% per annum. The Cash Investment will be treated as an obligation of the PE Fund ranking senior to the LP Interests or other equity interests in the PE Fund, but may be subordinate to other obligations of the PE Fund, such as capital commitment subscription lines.

The Cash Investment may be repaid to the Issuer [5] years beyond the Closing Date of the transaction, at the discretion of the Manager as the manager of the PE Fund. If the Cash Investment is repaid, the Notes will be redeemed as described in Priority of Payments below.

Notes:

1. Please refer to the Offering Circular for additional information related to the Cash Investment

Liquidity Facility

The Issuer will have access to a senior secured revolving credit facility (the "**Liquidity Facility**"), with an initial [6] year term subject to [1] one-year extension option and mutual extensions thereafter. With respect to the [1] one-year extension option, if the Issuer wishes to exercise the extension, the Issuer will be required to inform the Liquidity Facility Provider at least [6] months before the end of the initial term. With respect to any mutual extensions thereafter, if the Issuer wishes to exercise the extension, the Issuer will be required to inform the Liquidity Facility Provider between [25] and [7] months before the end of the term. The Liquidity Facility Provider will then have [1] month to respond to the Issuer's request.

The Liquidity Facility can be used for payment of administrative expenses or fees, interest owed on the Notes, and/or capital calls (at any time when the balance of the Cash Investment is zero), subject to the terms of the Priority of Payments.

Terms[1]	
Tenor	[6 + 1 year Issuer extension option + mutual extensions thereafter]
Size	$[100] MM
Drawn Interest Rate	L + [200] bps
Undrawn Interest Rate	[1.0]%
Upfront Fee	[65] bps
Liquidity Facility Provider	[TBD]

Notes:

1. Please refer to the Offering Circular for a summary of the Liquidity Facility terms

LTV Test[1]

Definitions	
Loan to Value (LTV)	Outstanding Amounts / Borrowing Base, expressed as a percentage
Outstanding Amounts	Class A Notes Outstanding Balance + Class B Notes Outstanding Balance + Drawn Liquidity Facility
Borrowing Base	Cash Investment Balance + Reserve Account NAV + LP Interest NAV (subject to above Concentration Limits)
LTV Test	
LTV Trigger	≤ [70.0]%

If the LTV Test is not satisfied, distributions to the Subordinated Notes are prohibited until the Rated Notes are paid in full. Additionally, if the LTV Test is not satisfied, the Class B Notes will receive no principal payments until the Class A Notes have been paid in full.

Notes:

1. Please refer to the Offering Circular for the final LTV Test

Reserve Account[1]

Amounts on deposit in the Reserve Account will be invested in certain eligible investments that may be sub-advised by managers other than the Manager.

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The Target Balance in respect of the Reserve Account will be an amount equal to the sum of (i) [2] years of interest due on the Rated Notes, (ii) [2] years of Fixed Fees, and (iii) [2] years of Administrative Fees.

On the Closing Date, an amount equal to the Target Balance will be deposited into the Reserve Account from the proceeds of the issuance of the Notes. After the Closing Date, if applicable, amounts will be deposited into the Reserve Account pursuant to the Priority of Payments until the balance is equal to the Target Balance.

Notes:

1. Please refer to the Offering Circular for additional information related to the Reserve Account

Priority of Payments

On each Payment Date prior to the occurrence of an Event of Default, Available Amounts will be applied in the following order of priority (the "**Priority of Payments**"):

(A) to the payment of required capital calls (to the extent not covered by the Cash Investment);

(B) to the payment of administrative expenses, including the Fixed Fee and the Administrative Fee, subject to an annual cap of $[TBD];

(C) to the payment of any interest expense, commitment fee and, if applicable, extension fee, due on the Liquidity Facility;

(D) to the payment of interest on the Class A Notes, until such amount is paid in full;

(E) to the payment of interest on the Class B Notes, until such amount is paid in full;

(F) to the payment of any outstanding principal on the Liquidity Facility;

(G) if the balance in the Reserve Account is less than the Target Balance, to fund the Reserve Account, up to the Target Balance;

(H) to the payment of the Management Fee;

(I) if the LTV Test is satisfied and the Clean-Up Amortization Trigger is not breached, to the payment of principal of the Rated Notes, on a pro-rata basis, in an aggregate amount of up to [82.5]% of remaining Available Amounts after giving effect to clauses (A) – (H);

(J) if either (a) the LTV Test is not satisfied or (b) the Clean-Up Amortization Trigger is breached, to the payment of the principal of the Class A Notes, until such amount is paid in full;

(K) if either (a) the LTV Test is not satisfied or (b) the Clean-Up Amortization Trigger is breached, to the payment of the principal of the Class B Notes, until such amount is paid in full;

(L) to the payment of administrative expenses, including the Administrative Fee, in excess of the annual cap;

(M) to the holders of the Class I Subordinated Notes until they have received cumulative distributions equal to their initial par amount;

(N) to the holders of the Class II Subordinated Notes until they have received cumulative distributions equal to their initial par amount; and

(O) to the holders of the Subordinated Notes, on a pro-rata basis.

Available Amounts will include:

- Accrued yield paid in respect of the Cash Investment
- Distributions from LP Interest
- Interest on Reserve Account balances
- Proceeds from the Liquidity Facility; *provided* that such proceeds will only be applied to pay amounts due under clauses (A) – (E) above
- Balances in the Reserve Account; *provided* that such balances will only be used to pay amounts due under (A) – (F) above

Events of Default

Events of default shall be customary for transactions of this type, including, but not limited to: payment default (subject to applicable cure periods), breach of representation or warranty, termination of the Manager, breach of covenant (subject to applicable cure periods), events of bankruptcy, insolvency, receivership or reorganization of the Issuer, event of default under the Liquidity Facility, Issuer is declared a "defaulting partner" (or similar term or concept) under the limited partnership agreement of the PE Fund, or Issuer has failed to fund any required capital call or other monetary obligation under the limited partnership agreement of the PE Fund by the date specified for payment (including any applicable grace period). Events of Default shall be subject to customary remedies and cure periods, which shall be directed by holders of the Notes in the manner described in the Indenture and Security Agreement.

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Hypothetical Returns

Assumptions include, but are not limited to:

- Rated Notes Base Case assumes an investment return of 16% on the underlying fund, based on the distribution profile of previous funds managed by the Manager
- The Cash Investment pays a 2.25% yield
- The coupon on the Class A Note is assumed to be 4.4% and the coupon on the Class B note is assumed to be 6.5%
- The Notes are purchased at a dollar price of 100% of par
- The Cash Investment not used to meet capital calls is returned to the Issuer 5 years after the Closing Date
- The Reserve Account balance earns a 0.5% yield
- Estimated closing costs of $10MM

Rated Notes Base Case	Yield(1)	Multiple on Invested Capital ("MOIC")	WAL
Class A Notes	[4.5]%	[1.2]x	[4.2] yrs
Class B Notes	[6.6]%	[1.3]x	[4.2] yrs

Class I Subordinated Note Hypothetical Returns	Yield(2)	MOIC
Fund 0% Return / 1.0x MOIC	[-2]%	[0.5]x
Fund 6% Return / 1.25x MOIC	[3]%	[1.2]x
Fund 16% Return / 1.65x MOIC (Base Case)	[15]%	[2.3]x
Fund 24% Return / 2.0x MOIC	[23]%	[3.2]x

Notes:

1.Yield on the Rated Notes is quoted as a Bond Equivalent Yield (Semi-Annual, 30/360)

2.Yield on the Class I Subordinated Notes is quoted as an IRR (Annual, Actual/365)

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Certain Risk Factors

Investments in the Class A Notes and the Class B Notes (together with the Class A Notes, the "Rated Notes") and Class I Subordinated Notes and Class II Subordinated Notes (together with the Class I Subordinated Notes, the "Subordinated Notes", and the Rated Notes together with the Subordinated Notes, the "Notes") issued by the Issuer involve a number of risks and there can be no assurance that the full (or any) amount invested in the Notes will be returned or that a positive rate of return on the Notes will be achieved. This section highlights a limited number of those risks, but is not and does not purport to be a complete list of the risks inherent in an investment in the Notes. Except as otherwise stated, these Risk Factors are applicable to all classes of Notes, although the degree of risk associated with each class of Notes will vary. There may be additional risks not described below or not presently known or currently deemed immaterial or remote that turn out to be material. Investors should read the preliminary and final Offering Circular in its entirety, including the description of risk factors and disclaimers contained in the preliminary and final Offering Circular, prior to making a decision to invest in the Notes. The information set forth in this presentation shall be superseded in its entirety by any subsequent versions of this information and by the preliminary and final Offering Circular relating to the Notes (including the section on risk factors/investment considerations set forth therein). In addition, this summary as well as the more comprehensive list of risk factors in the preliminary and final Offering Circular do not take into account an investor's particular situation, liquidity needs, regulatory capital requirements, tax status, existing holdings or leverage, all of which should be considered in making an investment decision.

Experienced Investors

The investment in the Notes involves a high degree of risk and is only considered appropriate for sophisticated or professional investors who can afford the speculative risk associated with trading in these markets and products. Each potential investor must have enough knowledge and experience in financial and business matters to be capable of evaluating the merits and risks of such an investment. Each investor represents that it satisfies these and the other criteria set forth herein.

Reliance on the Manager

The Manager will have exclusive responsibility for management and oversight of the Issuer and the PE Fund. Investors in the Notes will not have the right to make or evaluate any investment made by the PE Fund, or other decisions concerning management of the PE Fund and its assets (the "**Portfolio Investments**"). Accordingly, investors in the Notes are dependent upon the judgment and ability of the Manager to select investments and invest and manage the capital of the PE Fund and the Portfolio Investments, and investors are therefore generally subject to the risks associated with making an investment in the PE Fund itself. No potential investor who is unwilling to entrust all aspects of the management of the Issuer, the PE Fund, and the PE Fund's investments to the Manager should invest in the Notes. The success of the PE Fund (and thereby of the Issuer) will be largely dependent on the managerial expertise of the investment professionals acting on behalf of the Manager. If one or more of such investment professionals were to leave their employment or otherwise be unavailable to the Manager, the Manager would have to procure the services of replacement employees, and such a departure could have a material adverse effect on the performance of the PE Fund's portfolio.

Risk Related to Secondary Investments and Secondary Funds

The Manager will commit the Issuer's assets to funds managed by the Manager ("**Manager Funds**") that pursue a secondary markets investment program. Secondary acquisitions may result in the Manager Funds acquiring contingent liabilities of the seller of such interests, which liabilities may or may not be recoverable from the seller. Further, the Manager may have the opportunity to acquire a portfolio of investment funds from a seller on an "all or nothing" basis. Certain of the investment funds in the portfolio may be less attractive than others and certain of the sponsors of such investment funds may be more familiar to the Manager than others, or may be more experienced or highly regarded than others. In such cases, it may not be possible for the Manager to carve out from such purchases those investments which the Manager considers (for commercial, tax, legal or other reasons) less attractive. In addition, each of the funds in which the Manager Funds invest through secondary investments generally (i) pays (or requires its limited partners to pay) its respective general partner and investment advisor or manager certain fees, and (ii) bears certain costs and expenses. Such fees and expenses are expected to materially reduce the actual returns to limited partners, although the impact of such fees and expenses on investment returns may be reduced by time and discounts associated with the initial acquisition of funds acquired through secondary transactions. Accordingly, the Issuer will be subject to management fees and/or carried interest on, and costs and expenses in respect of, its indirect investments in such Manager Funds and such other underlying funds in which those Manager Funds invest, which may give rise to conflicts of interest and multiple levels of fees and performance based compensation payable to the Manager. Such fees and expenses are expected to materially reduce the actual returns to the Issuer.

Subordinated Investments

The Issuer will invest in securities (including equity interests and the Cash Investment) of Portfolio Investments that are structurally subordinated to the claims of creditors of the Portfolio Investments. Investments in equity and the Cash Investment will be unsecured and may be subordinated to substantial amounts of senior indebtedness, all or a significant portion of which may be secured, and may subject the Issuer to a "first loss" subordinate holder position relative to other lenders to and creditors of the Portfolio Investments. Investments in such securities have a higher risk of loss and credit default than secured loans and may absorb losses before loans, debt securities or other extensions of credit to the Portfolio Investments.

Market Volatility

Markets may at times be volatile and values of individual securities, fixed income instruments and other investments may decline significantly in response to adverse issuer, political, regulatory, market, economic or other developments that may cause broad changes in market value, public perceptions concerning these developments, and adverse investor sentiment. In particular, the value of equity securities may decline due to general market conditions which are not specifically related to a particular company or to factors affecting a particular industry or industries. If the Manager sells a portfolio position before it reaches its market peak, it may miss out on opportunities for better performance.

No Recourse/Subordination

Each class of Rated Notes is subordinated on each Payment Date to certain amounts payable by the Issuer to other parties, and the Class B Notes are subordinated to the Class A Notes. The Subordinated Notes are subordinated on each Payment Date to the Rated Notes and other fees and expenses as set forth in the Priority of Payments.

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The Rated Notes are limited recourse obligations of the Issuer, payable solely from the assets specified in the indenture relating to the Notes (the "**Indenture**"). To the extent that any losses are suffered by the holders of any Notes, such losses will be borne first by the holders of the Subordinated Notes, and then by the holders of the Rated Notes in inverse order of seniority, as further described below. None of the Manager, Morgan Stanley or any of their respective affiliates will have any obligation to make payments of principal, interest or dividends on any of the Notes.

No Ongoing Responsibility

Morgan Stanley will have no obligation to monitor the performance of the investments of the Issuer or any Portfolio Investment or the actions of the Manager, the Issuer or any Portfolio Investment and will have no authority to advise the Manager, the Issuer or any Portfolio Investment or to direct their actions, which will be solely the responsibility of the Manager and /or the Issuer or Portfolio Investment, as the case may be.

No Operating History

The Issuer is a newly organized entity and has no prior operating history or track record. Accordingly, the Issuer does not have a performance history for a prospective investor to consider in making its decision to invest in the Notes.

Optional Redemption of Notes

The holders of the majority of the aggregate outstanding principal amount of the Subordinated Notes may cause the Rated Notes to be redeemed after the expiration of the Non-Call Period.

Highly Competitive Market for Investment Opportunities

Identifying, closing and realizing attractive private equity investments that fall within the investment mandate of the Manager and the criteria set forth in the investment guidelines is highly competitive. A failure by the Manager to identify attractive investment opportunities will adversely impact the Issuer and its ability to make payments in respect of the Notes.

Illiquidity of the Interests in the Private Equity Investments

No assurance can be given that, if the Manager determined to dispose of a particular private equity investment, it could dispose of such investment at a prevailing market price and there is a risk that disposition of such investment may require a lengthy time period. It is expected that the Manager will be prohibited by contract or legal or regulatory reasons from selling or transferring private equity investments without first obtaining certain applicable consents. In addition, as investments are realized by such private equity funds, distributions generated on the Portfolio Investments (and therefore indirectly on the Issuer's investments) may be reinvested by the manager of such private equity fund into other investment opportunities. Such reinvestment may cause the asset allocations and composition of the Issuer's investments to change over time and could result in an increased proportion of the Issuer's assets being invested in Portfolio Investments that hold illiquid assets.

Investments in private equity funds involve special risks

Private equity funds may invest in leveraged buyouts which by their nature require companies to undertake a high ratio of leverage to available income. Leveraged portfolio entities are inherently more sensitive to declines in revenues and increases in expenses.

The Portfolio Investments, directly or indirectly through private equity funds, may invest in investments that will not be liquidated for a number of years after the initial investment. Factors such as overall economic conditions, the competitive environment and the availability of potential acquirers may shorten or lengthen the applicable holding period of such investments. The return of capital and the realization of gains, if any, will occur only upon the partial or complete disposition or refinancing of such investment.

The Portfolio Investments, directly or indirectly through private equity funds, may invest in private illiquid securities, which are normally subject to restrictions on resale. In some cases, the Portfolio Investments or such funds may be prohibited from selling such securities for a period of time, selling such securities to certain investors unless they meet certain criteria or otherwise be restricted from disposing of such securities. Furthermore, the types of investments made may require a substantial length of time to liquidate. As a result, there is a significant risk that the Portfolio Investments or such funds may be unable to realize their investment objectives by sale or other disposition of their investments at attractive prices or will otherwise be unable to complete any exit strategy.

The Portfolio Investments, directly or indirectly through private equity funds, may invest in restructurings that involve portfolio entities that are experiencing or are expected to experience severe financial difficulties, which may never be overcome. Such investments could, in certain circumstances, subject the Portfolio Investments or such funds to certain additional potential liabilities, which may exceed the value of the Issuer's or such fund's original investments therein.

The Portfolio Investments or the private equity funds in which they invest may take controlling interests in certain portfolio entities, or be deemed to do so. The exercise of control over a company may impose risks of additional liability for underfunded pensions, environmental damage, product defects, failure to supervise management, violation of governmental regulations (including securities laws) or other types of liability in which the limited liability generally characteristic of business ownership may be ignored.

The Portfolio Investments or the private equity funds in which they invest may make minority equity investments in entities where the Portfolio Investments or the relevant funds do not effectively control or influence the business or affairs of such entities. Under such circumstances, there is the possibility that the entity in which a Portfolio Investment's or a private equity fund's investments are made will have economic or business interests or goals that are inconsistent with those of the Portfolio Investment and/or the private equity fund, or the relevant private equity fund may not be in a position to limit or otherwise protect the value of its investment in the entity.

Risks Relating to Due Diligence of Investments

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When conducting due diligence and making an assessment regarding an investment, the Manager will rely on the resources available to it, including information provided by a counterparty and, in some circumstances, third-party investigations. However, representations made by a counterparty could be inaccurate, and third-party investigations may not uncover risks. As a result, due diligence investigations conducted with respect to any investment opportunity may not reveal or highlight all relevant facts necessary or helpful to make the investment decision. In particular, there can be no assurance that the Manager will be able to detect irregular accounting, employee misconduct or other fraudulent practices during a due diligence investigation.

Reliance on Portfolio Company Management and Third Parties

The day-to-day operations of each portfolio company of a private equity fund in which the Issuer (through a Portfolio Investment) invests will be the responsibility of the portfolio company's management team. There can be no assurance that the management team of any portfolio company will operate in accordance with the expectations of such private equity fund's or Portfolio Investment's general partner or manager. Moreover, portfolio companies can lose employees, as the market for high performing executive talent is competitive. There can be no assurance that portfolio companies will be able to attract, develop and retain suitable management team members over the life of a private equity fund.

Risk of Fraud

Instances of fraud and other deceptive practices committed by senior management of certain private equity funds or portfolio companies in which the Issuer (through Portfolio Investments) invests may undermine the Issuer's due diligence efforts with respect to such private equity funds or portfolio companies, and may negatively affect the valuation of the Portfolio Investments.

Valuation

The value of investments in private equity funds will be determined by the issuers or administrators of the relevant private equity funds. The Manager has only limited access to the portfolio information of such private equity funds and thus the Manager may have a limited ability or no ability to independently verify the valuation information provided thereto.

Failure to Make Payments

Generally, the constituent documents for a private equity fund will provide for penalties in the event that an investor (such as a Portfolio Investment) fails to satisfy a capital call pursuant to such investor's capital commitment, and such penalties may be severe. There is typically a short grace period during which interest accrues on the unpaid amount. If the default continues beyond the grace period, the defaulting investor may become subject to severe sanctions, including termination of the investor's right to participate in future investments by the related private equity fund, loss of its entitlement to distributions or income but not its liability for losses or partnership expenses, loss of voting rights, mandatory transfer or sale of such investor's interest in the private equity fund at a discount, continuing liability for interest in respect of the defaulted amount, partial or total forfeiture of the investor's interest in the private equity fund and liability for any other rights and remedies (including legal remedies) the general partner and/or investment advisor of such private equity fund may have against the investor. Any failure by a Portfolio Investment to meet any capital call with respect to a private equity fund may have a material adverse effect on the Portfolio Investment and on the Issuer's ability to make payments on the Notes.

Fee Structure

The Issuer will be subject to both management fees and other expenses and will indirectly be subject to management fees and carried interests or allocations and other indirect expenses (e.g., organizational expenses, partnership expenses and so forth) at the Portfolio Investment level. As a result, the Issuer will incur, in the aggregate, higher fees than would be incurred by a direct investment in a Portfolio Investment that was not made via a purchase of the Notes.

Capital Requirements of Insurance Companies

Applicable insurance laws and regulations place significant limits on the types of assets in which insurance companies can invest. Such limits include quantitative limits on the amount of assets that may be held by an insurer based on the credit quality, asset class, jurisdiction, currency, issuer, or level and type of collateral supporting a particular investment, as well as qualitative limits on the types of assets that can be held by an insurer. None of the Issuer or any affiliate thereof makes any representation as to whether an investment in the Notes is a permitted investment for any insurance company under applicable insurance laws and regulations. Accordingly, any insurance company investing in the Notes should carefully consider whether such an investment is permitted under applicable insurance laws and regulations. Additionally, investments in the Notes by U.S. domiciled insurers in which the Issuer or any of its or its Affiliates hold significant equity investments or otherwise exercise control may require substantial prior notice to and receipt of an approval or non-disapproval from the state insurance department in such insurer's state of domicile.

Applicable insurance laws and regulations also require insurance companies to hold capital against the risk that an investment will default or lose value. None of the Issuer or any Affiliate thereof makes any representation as to any amount of capital that an insurance company investing in the Notes may be required to hold against the risk that the Notes will default or lose value. The amount of any such required capital may change over time, and there can be no assurances that the Manager will manage the investments of the Issuer to achieve any particular capital treatment of the Notes. Accordingly, any insurance company investing in the Notes should carefully consider the level of capital it will need to hold against an investment in the Notes and the risk that such capital levels may change over time.

Lack of Liquidity

The Notes will be subject to significant restrictions on transfer. The Notes should be viewed as long term investments, not as trading vehicles. There can be no assurance that there will be any secondary market for the Notes. The lack of an established, liquid secondary market for some of the Portfolio Investments may have an adverse effect on the market value of the Portfolio Investments and on the Manager's ability to dispose of them. The market for some of the Portfolio Investments may become illiquid from time to time as a result of adverse market conditions, regulatory developments or other circumstances. Additionally, Portfolio Investments will be subject to certain other transfer restrictions that may contribute to illiquidity. Therefore, no assurance can be given that, if the Manager

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determined to dispose of all or a substantial portion of a particular investment, it could dispose of such investment, particularly at any previously prevailing market price or any specific valuation level.

Ratings Not Necessarily Indicative of Asset Quality

The ratings assigned to the Rated Notes by the rating agencies are not necessarily indicative of the quality of the Rated Notes. Credit ratings only represent the rating agencies' opinions of credit quality and are not a recommendation to buy, sell or hold assets. They do not purport to assess market, regulatory or other risks that are relevant to the assessment of the quality of an asset. Credit ratings may not accurately assess credit risk and may be reduced or withdrawn at any time.
The rating agencies may modify their ratings criteria at any time and the ratings of the Rated Notes may be reduced or withdrawn as a consequence. In addition, the ratings of the Rated Notes could be reduced or withdrawn at any time without a change in rating agency methodology as a result of changes in economic conditions, conditions in the financial or private equity markets or a variety of other factors. A reduction in the ratings of the Rated Notes will have negative consequences to holders. A reduction of the ratings of a Rated Note may, for regulated entities, cause adverse effects on the value of the Rated Notes as a legal investment or the capital treatment of the Rated Notes.

MIFID II Product Governance

This information is intended for eligible counterparties and professional clients only, each as defined in MiFID II.

PRIIPs Regulation and Prospectus Regulation

The Notes are not intended to be offered, sold or otherwise made available to and should not be offered, sold or otherwise made available to any retail investor in the European Economic Area (the "**EEA**"). For these purposes, a retail investor means a person who is one (or more) of: (i) a retail client as defined in point (11) of Article 4(1) of MiFID II; or (ii) a customer within the meaning of Directive 2016/97/EU (as amended or superseded, the "**Insurance Distribution Directive**"), where that customer would not qualify as a professional client as defined in point (10) of Article 4(1) of MiFID II; or (iii) not a qualified investor as defined in Regulation 2017/1129/EU (as may be amended or superseded from time to time, the "**Prospectus Regulation**"). Consequently no key information document required by Regulation (EU) No 1286/2014 (as amended, the "**PRIIPs Regulation**") for offering or selling the Notes or otherwise making them available to retail investors in the EEA has been prepared and therefore offering or selling the Notes or otherwise making them available to any retail investor in the EEA may be unlawful under the PRIIPs Regulation.

European Economic Area

Prohibition of Sales to EEA Retail Investors: The Notes will not be offered, sold or otherwise made available to any retail investor in the European Economic Area. For the purposes of this provision: (i) the expression "retail investor" means a person who is one (or more) of the following: (A) a retail client as defined in point (11) of Article 4(1) of MiFID II; or (B) a customer within the meaning of Directive 2016/97 EU (as amended, the "**Insurance Distribution Directive**"), where that customer would not qualify as a professional client as defined in point (10) of Article 4(1) of MiFID II; or (C) not a qualified investor as defined in Regulation (EU) 2017/1129 (the "**Prospectus Regulation**") and (ii) the expression "offer" includes the communication in any form and by any means of sufficient information on the terms of the offer and the Notes to be offered so as to enable an investor to decide to purchase or subscribe for the Notes.

Securitization Regulation

Investors should be aware of (Regulation (EU) 2017/2402) aiming to create a general European framework for securitization and a specific framework for "simple, transparent and standardised" securitization (the "**Securitization Regulation**") which entered into force on the twentieth day thereafter. The Securitization Regulation applies to securitizations the securities of which are issued on or after 1 January 2019. The Securitization Regulation imposes obligation on EU originators, sponsors, original lenders and special purposes entities when they issue and/or invest in securitizations. While the Issuer believes the issuance of the Notes does not constitute a securitization as defined the Securitization Regulation and thus the transaction herein will not be structured to comply, there can be no assurances or guarantees that an applicable regulator may not take a different view. Each investor in the Notes that is subject to the Securitization Regulation should make its own determination as to whether an investment in the Notes constitutes a securitization for the purposes of the Securitization Regulation.

None of the Issuer, the Manager, Morgan Stanley (in any capacity), the Trustee, the Collateral Administrator or their respective affiliates or any other person makes any representation, warranty or guarantee that an investment in the Notes does not constitute a securitization under the Securitization Regulation or are in compliance with any other applicable legal regulatory or other requirements. No such person shall have any liability to any prospective investor in the Notes should a determination be made by any person that an investment in the Notes constitutes a securitization for the purposes of the Securitization Regulation.

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Coller International Partners VIII Private Equity Backed Notes 2020-1

$[510.00] Million Notes Backed Primarily by Private Equity Interests

Manager: [Coller Investment Management Limited or an affiliate thereof]

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